Overview of Telecom Revenue Assurance

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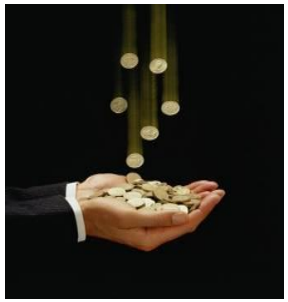
Contents

History of Indian telecom Sector 1.

Is Revenue leakage such a big Concern ??? 3.



Driving Forces behind RA 5.

2. Challenges faced by telecom operators

4. Understanding Revenue Assurance

6. Defining Scope of RA

Building an RA organization 7.

What makes an excellent RA professional 8.

History of Indian Telecom Sector...

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1.

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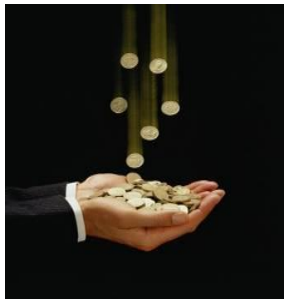


Driving Forces behind RA

5.

2.

Challenges faced by telecom operators

4.

Understanding Revenue Assurance

6.

Defining Scope of RA

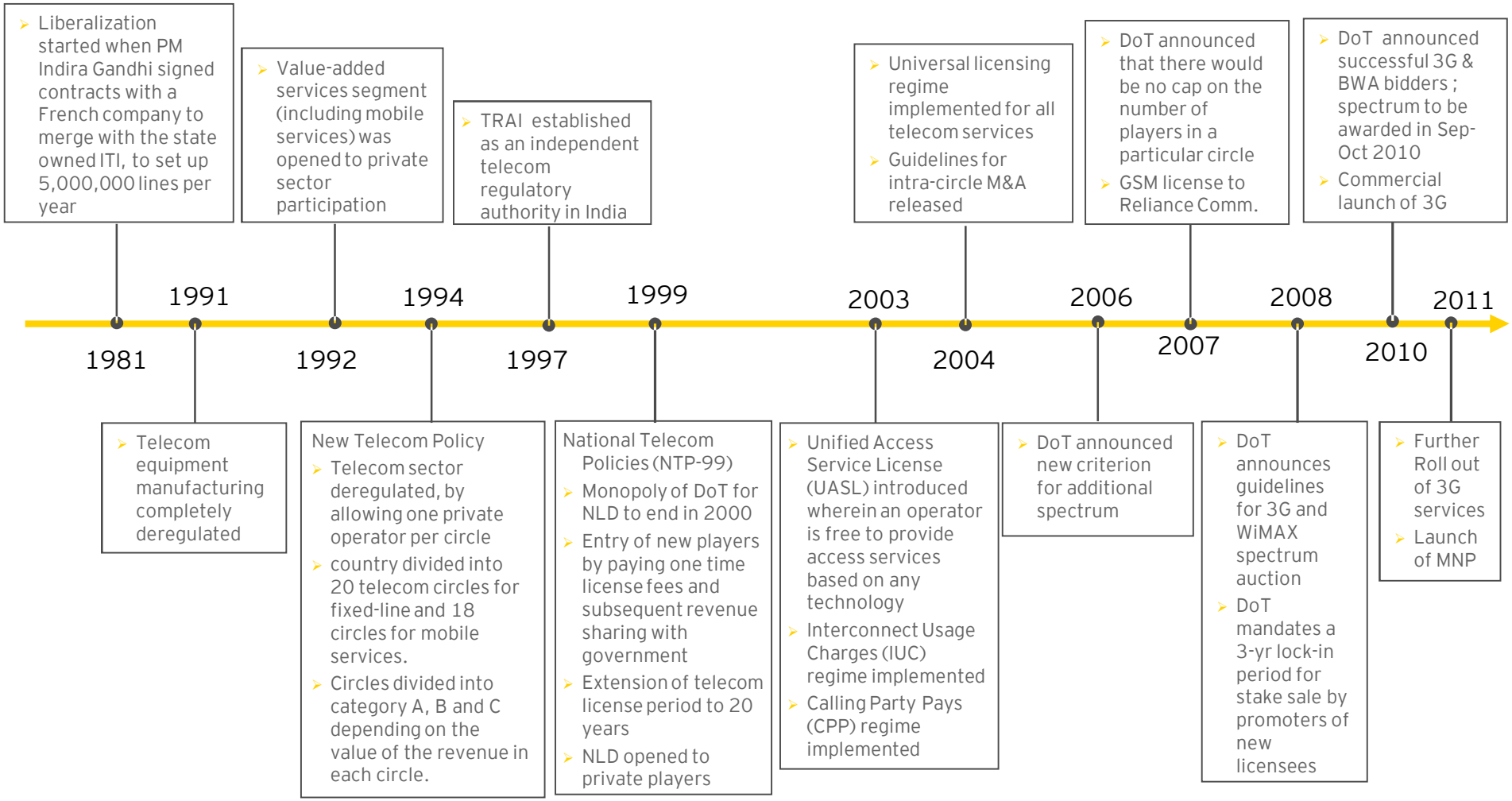
Building an RA organization

7.

What makes an excellent RA professional

8.

Indian Telecom Sector : Coming of an age...



Source: "India - Telecommunications Regulatory Overview," Paul Budde, 27 June 2009 via ISI Emerging Markets; "India Telecommunications Report Q2 2009," BMI, May 2009 via OneSource; "State of telecom industry," CRISIL Research, December 2008 via CrisInfac

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Challenges faced by telecom operators...

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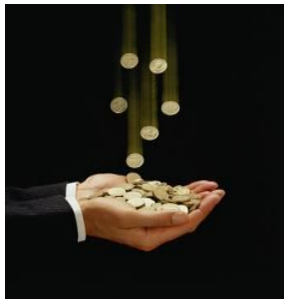


Driving Forces behind RA

5.

2.

Challenges faced by telecom operators

4.

Understanding Revenue Assurance

6.

Defining Scope of RA

Building an RA organization

7.

What makes an excellent RA professional

8.

Telecom Business is Evolving and presenting new Challenges to operators…

The challenges of today's business world are forcing the Communication Service Providers to focus explicitly on comprehensive definition of business processes and their effective management…

Customer Needs

Any Service

Any Device

Any Time

Challenges

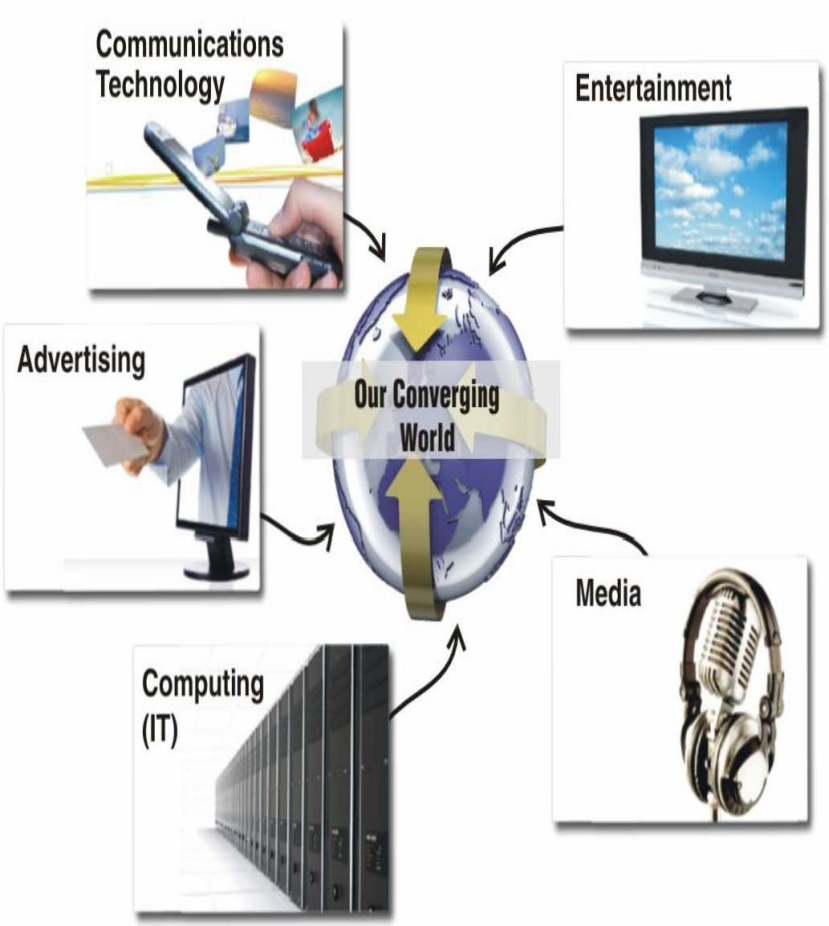
- Intense Competition
- Growth, price, margin, ARPU & Regulatory Pressure
- Commoditization of products & Services
- Rationalization, migration, & closure of Legacy systems
- Network evolution & convergence

Results Required

- Improved Time to Market
- Improved ability to retain Subscribers
- Increased market share & wallet share
- Reduced Opex
- Improved ROI

New business models and processes are being designed to keep pace with the changing customer requirements, competition and technology advances…

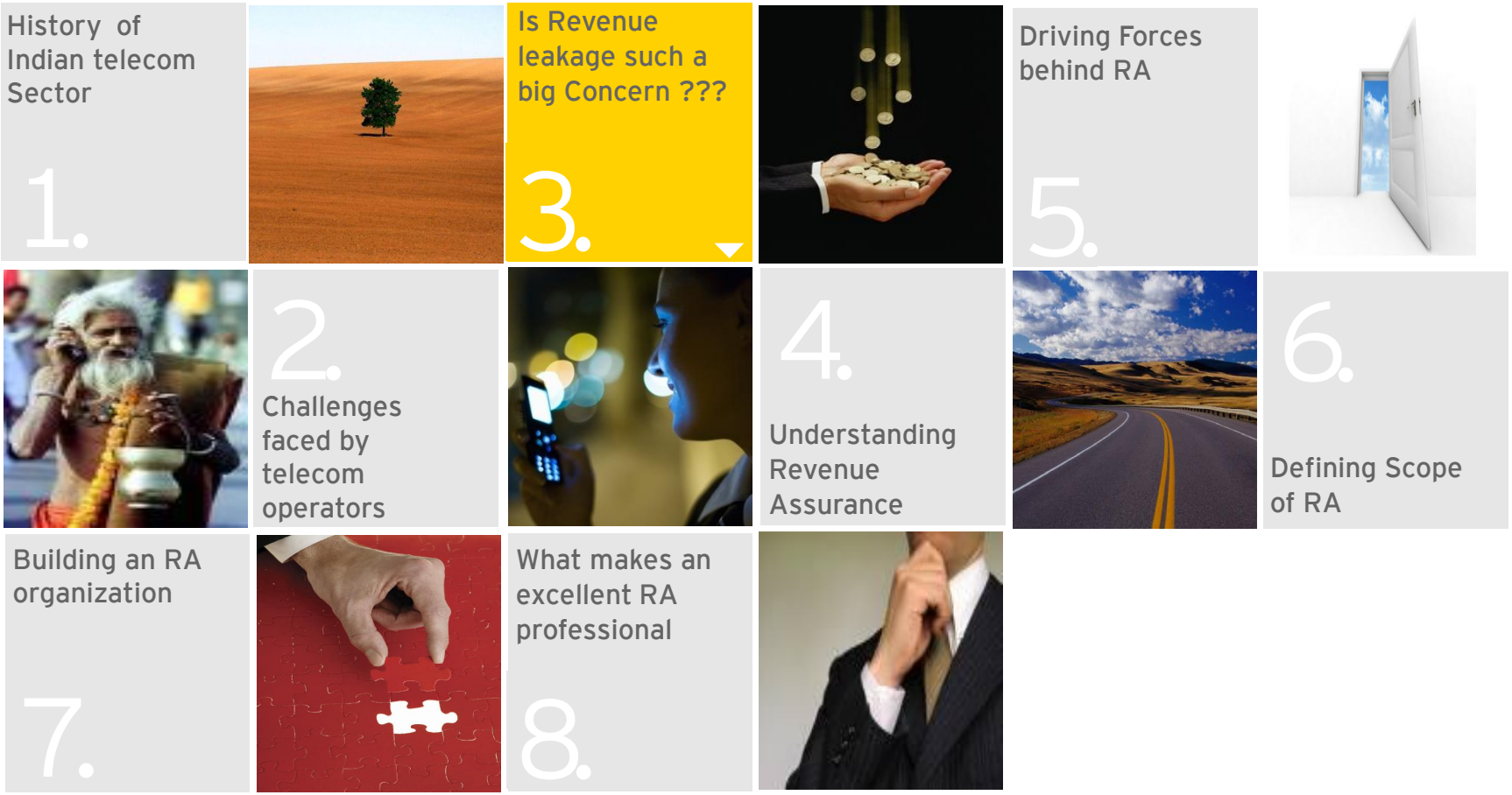
It is definitely no longer business as usual…



Change and Transformation have never been easy. The "rate of change" is challenging the "capacity for change".

Due to significant business growth operators have been confronted with challenges of managing complexity and changes in system ,multiple interfaces & huge transaction volumes. This has led to increased susceptibility to revenue leakages!!

Is Revenue leakage such a big Concern ???



What Analysts have to say …

Globally, operators lose 12-15% of their revenue every year largely because of revenue leakage related issues. **Gartner**

The average acceptable leakage reduction target is 1% … **E&Y RA Global Survey**

1% of US$1 billion is still US$10 million!!! **Wireline Operator, Western Europe**

In some cases they have detected revenue leakage as high as 15–25% of their total revenue… **IDC**

Indian telecom industry has lost over USD 750 million in 2007-2008 due to revenue leakages at an annual average rate of 2.5% of revenues, up from 2% in 2006-07. **E&Y RA India Survey**

Based on our experience, revenue leakage can range from 2% to 15% of the top-line. The extent of revenue leakage depends on a variety of factors -the operator's business model, geography, business processes, market competition, service portfolio, customer mix etc…

Understanding Revenue Assurance...

History of Indian telecom Sector

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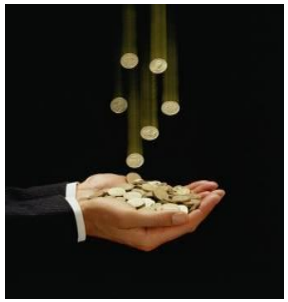


Driving Forces behind RA

5.

2.

Challenges faced by telecom operators

4.

Understanding Revenue Assurance

6.

Defining Scope of RA

Building an RA organization

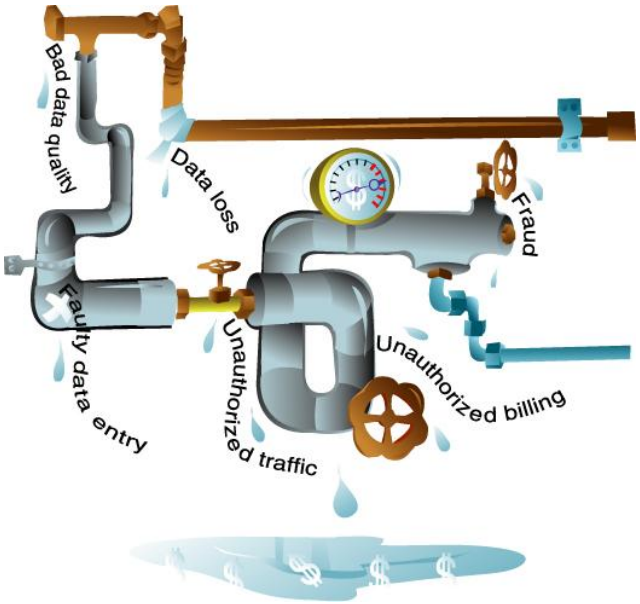
7.

What makes an excellent RA professional

8.

What is Revenue Assurance…

"Revenue Assurance is a combination of people, processes and technology for understanding, enhancing and monitoring the revenue cycle."
- Mark Gregory, Partner Ernst & Young LLP



- Revenue Assurance Definitions
  - Data quality and process improvement methods that improve profits, revenues and cash flows without influencing demand - *TeleManagement Forum*
  - Revenue Assurance is the work effort to ensure that processes, practices and procedures maximize revenues. It is end-to-end, crossing all departmental boundaries. It involves completeness, accuracy and timeliness of data – *GRAPA*

A comprehensive Revenue Assurance function would combine organizational structure, processes, technology and information responsible for understanding and monitoring the entire revenue process…

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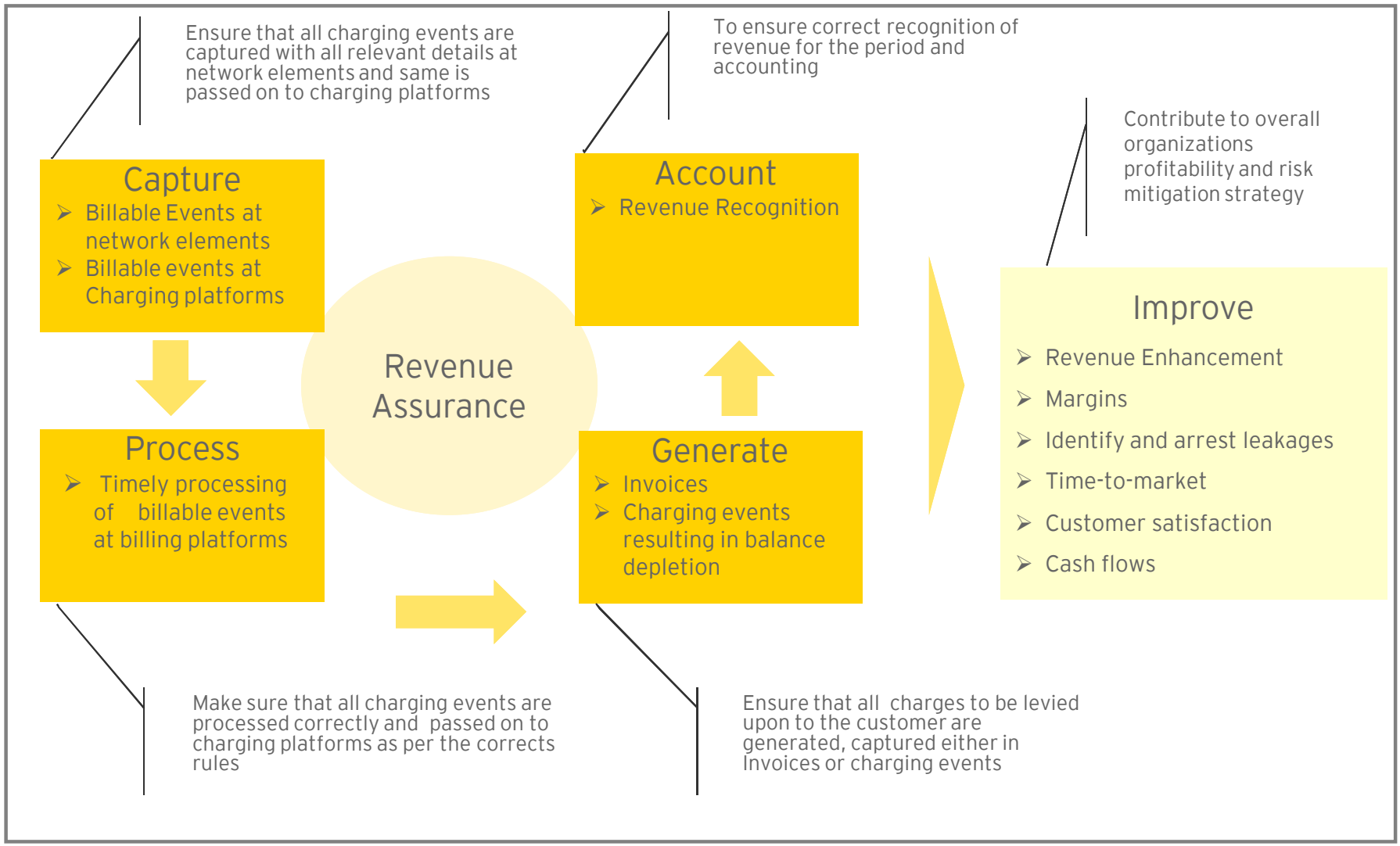
In Simpler Terms Revenue Assurance is…



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History of Indian telecom Sector

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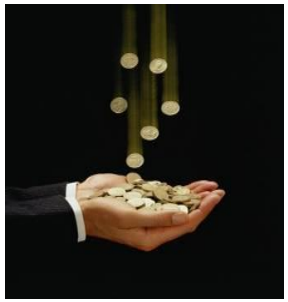


Driving Forces behind RA

5.

2.

Challenges faced by telecom operators

4.

Understanding Revenue Assurance

6.

Defining Scope of RA

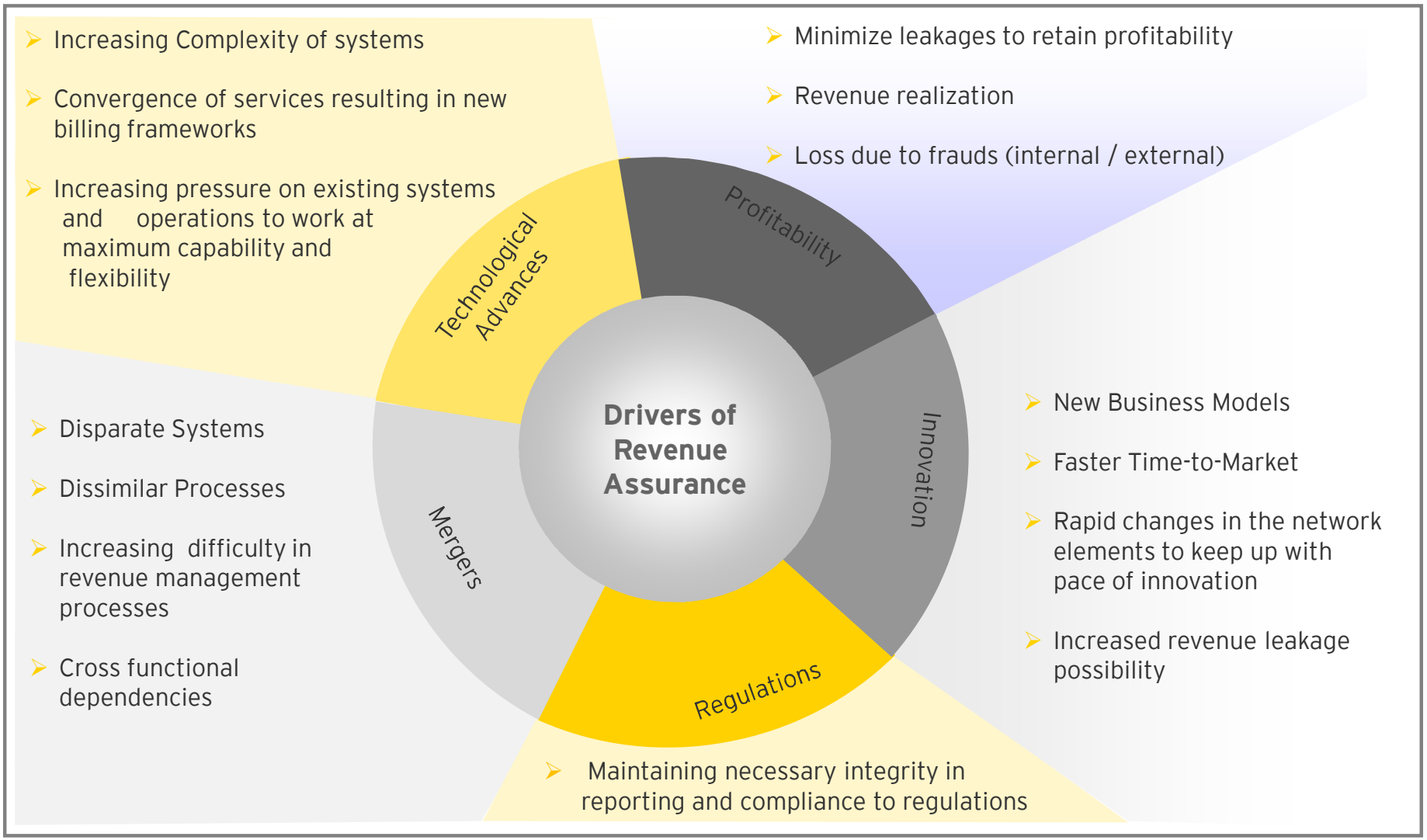
Building an RA organization

7.

What makes an excellent RA professional

8.

It's imperative now to deliver Value faster, Better and Cheaper…



Defining Scope of RA...

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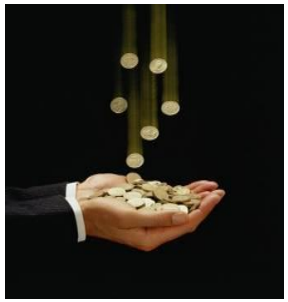


Driving Forces behind RA

5.

2.

Challenges faced by telecom operators

4.

Understanding Revenue Assurance

6.

Defining Scope of RA

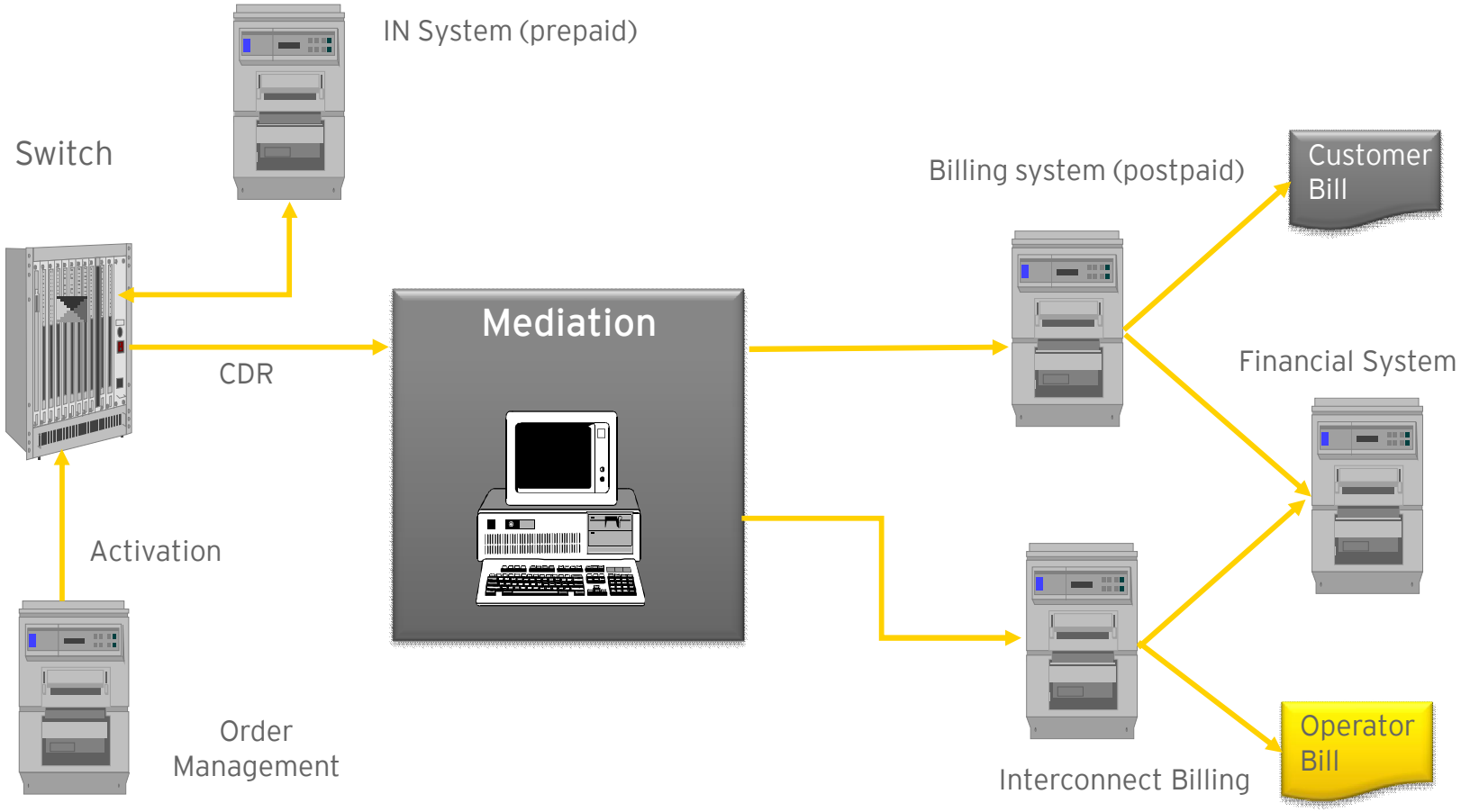
Building an RA organization

7.

What makes an excellent RA professional

8.

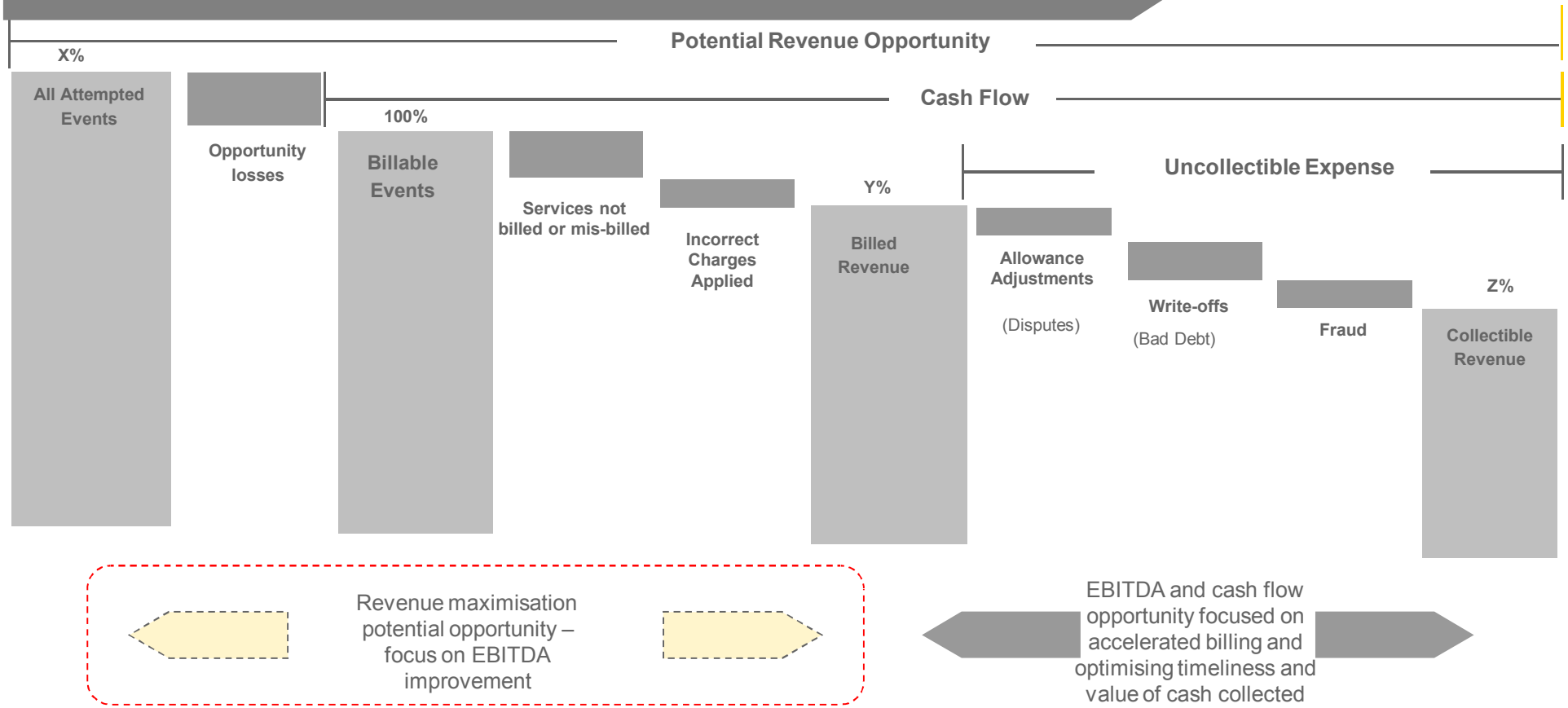
Core elements of Revenue Management Chain...



The revenue management chain is where the core business of Revenue Assurance is involved. This ensures that revenues are being tracked and collected. Therefore it is also referred as **Core Revenue Assurance...**

Revenue Leakage ...direct impact on EBITDA

The goal of Core revenue assurance is to maximise revenue by ensuring that all services and events are completely, accurately and timely billed and banked.



There are a number of areas where revenue maximization techniques could be applied to deliver higher revenue, improved EBITDA and working capital performance.

Extending Revenue Assurance to Core Business Functions

Product/Offer Management

- Promotional Offers
- Correct Communication to Billing team
- Innovation and customer oriented

Finance/Accounting

- Revenue Recognition
- Cash Management
- Revenue Reports

Order Mgmt/Provisioning

- Activation
- Credit Verification
- De-duping
- Special service provisioning i.e. IR,ILD

Customer Management

- Customer Satisfaction
- Churn Management
- Waivers/Adjustment

Receivable Management

- Dunning, Bad Debt Management
- Dispute Resolution

Partner Management

- Agreements for VAS, Interconnection, Roaming
- Channel Partners

Although the revenue management chain itself might occasionally have a problem, usually revenue assurance problems can be traced to failures generated elsewhere within the enterprise. These are known as **Extended revenue assurance areas...**

Enlisting few Key Revenue Assurance controls ....

Product & Offer Management

- Validation of new rate plan configuration / changes to rate plan
- Validation of new product / service configuration. E.g. VAS

Network and Usage Management

- End to end CDR reconciliation (switch – mediation – billing)
- Switch vs. IN CDR reconciliation
- CDR suppression checks
- TT file (count & serial number) controls
- B Number table validation to check for configuration of least cost route from IUC perspective
- Completeness of IMSI (roaming partner) and level opening (CNP) open at all switches

Rating and Billing

- Accuracy of charging – MO, SMS, roaming, VAS, MT (roaming)
- Accuracy of code definition (Local, STD, ISD) at IN, Intec and retail billing
- Invoice validation for postpaid subscribers
- Accuracy of configuration in postpaid platforms – Recurring, non recurring charge, discounts etc
- Accuracy of configuration in prepaid platforms – rentals, forfeiture, dedicated accounts etc
- Accuracy of configuration in interconnect platforms – code and slab definition, trunks, rates etc
- Accuracy of configuration in roaming platforms – rate, conversion to SDR, IMSI etc
- Reconciliation of bills generated vs. active subscribers

Enlisting few Key Revenue Assurance controls ....

Order Management & Provisioning

- Subscriber and service reconciliation – switch vs. IN / billing
- Reconciliation of CAF vs. service configuration
- Subscriber de-duping (postpaid subscriber pre-checks from FMS perspective

Receivables Management

- Credit limit assignment and upgrade
- Checks on adherence to credit policy for time base and exposure base dunning

Finance & Accounting

- Accuracy of reports generated (IN, billing, Interconnect) for revenue accounting purposes
- Validation of computation of bad debts, revenues, receivables etc

Customer Management

- Validation of customer complaints regarding accuracy of charging, service levels
- Validation of waivers and adjustment passed to customer accounts

Partner Management

- Validation and approval of VAS partner invoice
- VAS vendor three way reconciliation – vendor DB, HLR, charged SMS
- Validation and approval for roaming and interconnect partner invoice
- Assistance in dispute resolution with partners

Building an RA organization...

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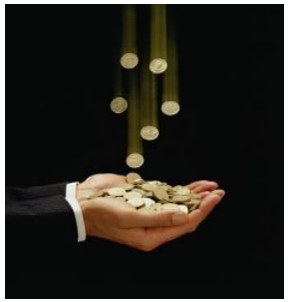

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5.

2.

Challenges faced by telecom operators

4.

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8.

Envisioning the Revenue Assurance Organization...

Strategic Objectives

Risk Identification

Ensure revenue risks are identified throughout the end-to-end revenue cycle.

Facilitate

Facilitate the development of processes, controls and ensure the impact on cross-functional processes is considered.

Monitoring

Provide overall monitoring capabilities to ensure that revenue process performance is measured and accurately reported.

Accountability

Establish accountability for process performance and implementation of fixes within the end-to-end revenue cycle.

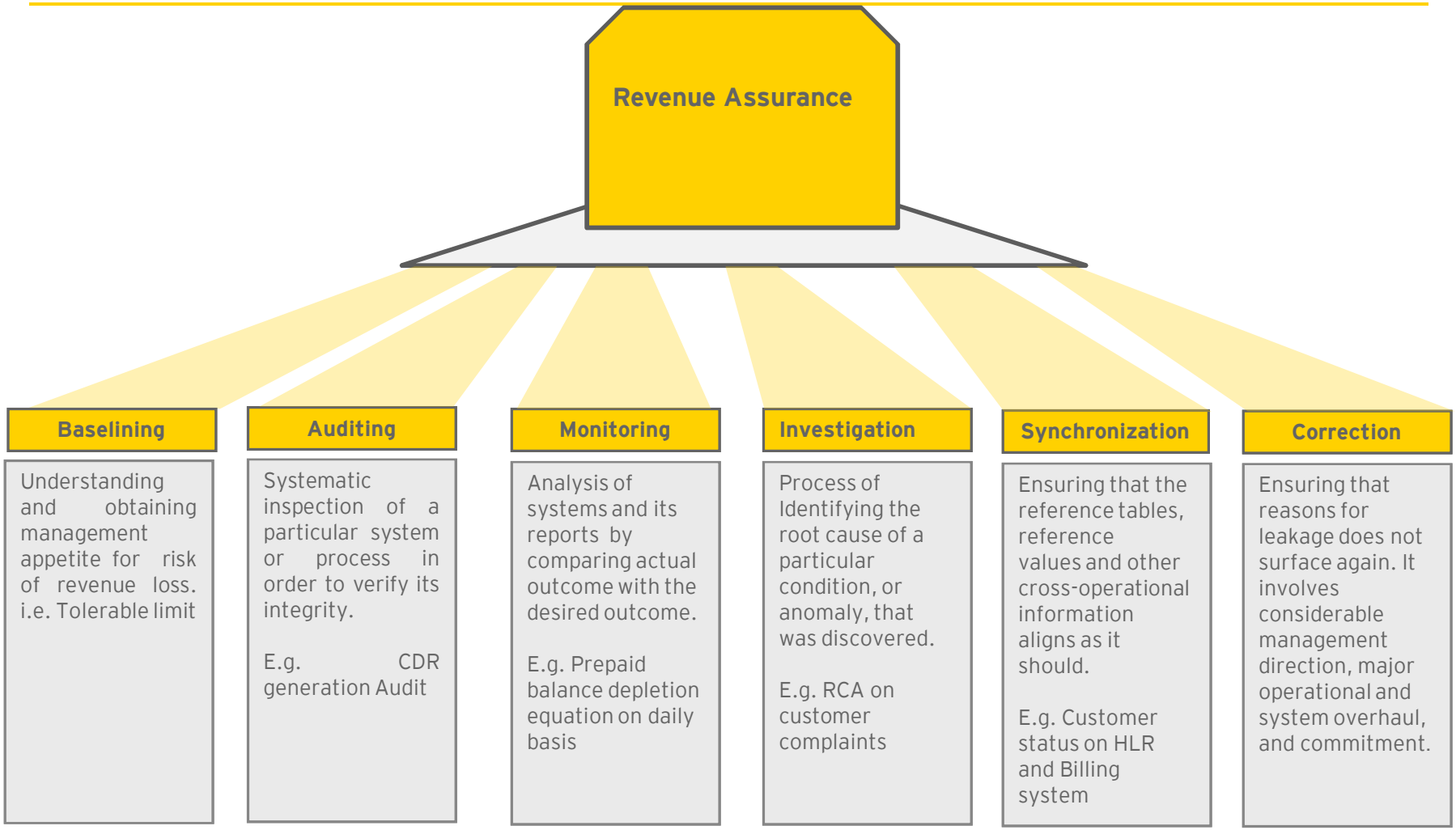
Key Enablers...

- Process
- People & Culture
- Technology
- Governance Structure

Critical Processes

- Acquire and Retain RA Resources
- Define and Refine Methodologies
- Develop, execute and refine operations Plan
- Obtain and Maintain executive sponsorship
- Implement RA dashboard
- Benchmark Revenue process Performance
- Implement RA Scorecard
- Build and maintain RA awareness

The Functional Dimensions of Revenue Assurance Organization



Evolution of RA Partnership Model with Indian Telco's maturity

Indian operators have realized the importance of revenue assurance function. RA is increasingly being viewed as core business support function and new RA partnership models are evolving.

	Early and Nascent	Growing	Established
Prevented leakage	Low	Medium	High
Recovered leakage	High	Very High	Low
Unrecovered leakage	Very High	High	Low
Management Perception	Profit Center	Profit Center	Cost Center

One Time Diagnostic → Periodic System and Process reviews → RA Partnership → Outsourced Operations

One Time Diagnostic

- Activities restricted to Pre and Post Launch Testing
- Manual and reactive RA function
- Scope of RA Partnership with vendor limited to identifying key revenue leakages

Periodic System and Process reviews

- Basic RA functions formalized
- Process automation is fragmented
- RA vendor performs periodic application reviews

RA Partnership

- RA processes formalized
- RA processes mostly proactive
- Risk repository well populated and periodically reviewed
- Evolving SLA's with RA vendor

Outsourced Operations

- Risk based strategic decision making
- Representation for RA in executive committees
- Specialized skill sets
- Optimized automation of RA activities
- Well defined KPI's and reporting requirements with RA vendor

Source: Ovum

What makes an excellent RA Professional...

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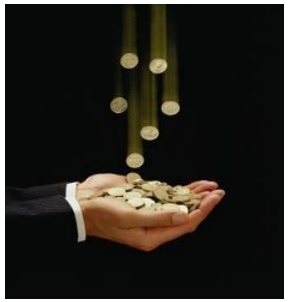

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2.

Challenges faced by telecom operators

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It's a Combination of Aptitude and Attitude…

Skilled Revenue Assurance Professionals are scarce and are in huge demand in Telecom industry. It is a specialized job and to excel in it, combination of both aptitude and attitude are required…

Revenue Assurance , being a highly skilled job requires **techno-commercial** skills :

- Understanding of Telecom value chain
- Understanding of various Network platforms, Prepaid, Postpaid and other revenue streams
- End to end understanding of telecom billing and charging related processes
- Data Analytics – MS Access, SQL, ACL etc.
- Knowledge of RA and Fraud Management systems
- Revenue management, analysis and accounting knowledge

But, it order to excel It is equally important to possess a few **behavioral skills** as well :

- Inter-personal skills – Constant interactions and interdependencies with senior management, Marketing , Networks, CSD, Finance, IT etc.
- Imagination – Root Cause analysis, identifying fraud scenarios, thinking like an fraudster
- Perseverance – cross functional interaction, delay in problem solving
- Eye for Detailing – Reconciliation on data volumes of millions / billions
- Willingness to learn

Thank you

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